

Inductors Proposal

Offer 04122017SAT

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COMMERCIAL OFFER

Inductors

II. Components presentation

Hyundai WIA Corp. contacted GH Induction Group by to demand an offer which consists new developments for inductors.

III. Commercial proposal

A. Main offer – Inductors and tools

Item #	Description	Code	QTY	Un/Price	Total
	Inductor for Top of Stem- Tripod Housing CWTJ (Stem)				
1	<i>Inductor Design & Manufacturing, process test and process development</i>	S/C	2	6.700 €	13.400 €

(*) See VI. General considerations (pg. 9)

IV. Supply conditions

A. Delivery terms

1. Delivery time

The supply proposed by GH Induction is scheduled to be delivered as follow:

- Week 12/2018 if purchase order is received before week 51/2017

Delivery time is conditional upon the reception of the complete information and documentation required by GH Induction (parts drawings).

2. Delivery conditions

Our supply is delivered according to the following 2010 Incoterms:

- EXW- GH Induction facility Valencia (Spain)

3. Packing conditions

Wrapped and protected for sea/air transportation. Other packing solutions upon request.

B. Payment terms

1. General terms

- **30 %** down payment at the order by bank transfer (SWIFT) – payment made at latest 2 weeks from order issued date
- **60 %** after components are ready and before delivery by bank transfer (SWIFT). Once GH has manufactured the components from whole order and before delivery them to customer.
- **10 %** 30 days after the delivery by bank transfer (SWIFT)

2. Delayed payment

GH Induction reserves its right to apply a financial interest charge on any delayed payment beyond agreed and stipulated date. This charge of interest has a value of 6% (value 2015) and is calculated on the entire due amount. Calculation of such financial interest shall be made by fraction of 14 days minimum.

Non-payment or delayed payment of our invoices - for any reason whatsoever - gives us the indisputable right to demand advance payment for the remaining supply, without prejudice of any other action, or to consider the contract suspended or annulled, and to annul the practice of any other contracts that may be in force, without giving the buyer the right to any type of refund or compensation for damages, or other.

3. Pricing revision

During the validity of our offer or after the PO issuing our pricing can be reviewed if one of the following terms occurs:

- Customer Parts designs change.
- Change in standards definition after end of design period

C. Offer validity

This is a firm offer with prices are valid for a period of 60 days

D. Warranty

GH Induction offers a standard warranty period of 12 months on all its equipment and spares to start upon the date of machine acceptance at buyer's facility and for spares from the date of shipment of the goods. For our systems, if pre-acceptance or shipment is delayed due to reasons beyond the supplier's control, the warranty period will end no later than 12 months after supplier's notification that the equipment is ready for acceptance or shipment.

The warranty for this specific supply only applies in case of any design or manufacturing faults. These components are wearing components and any failure resulting from wear-and-tear, misuse or negligence before or during use will be no accepted.

Are excluded from the warranty all wear parts or consumables unless a manufacturing defect or an improper design has brought to a premature failure. In addition, any negligent handling as well as changes and modifications without written authorization from GH Induction void automatically the warranty and could lead to payment of the costs needed to intervene which might be resulting from improper intervention.

Any part replaced on the machine under warranty needs to be sent back within 2 weeks to GH Induction to make the warranty effective on such said parts. This part will be analysed to understand root cause failure and will be invoiced in case of improper use. The warranty of the new part is 12 months from the date of replacement.

The guarantee does not imply that all the spares are available at the nearest GH Induction centre. For this reason, we advise customers to purchase the basic recommended spares that can be found in the machine manual.

Our warranty does not include any production losses liability which may have occurred as a result of machine trouble.

E. Equipment Property

The components remain the property of GH Induction until payment is duly performed. However, once the components are transferred to customer's plant responsibility is transferred to user and insurance should cover the entire value of the said components.

Any controversy, claim or dispute arising between the parties in connection with the interpretation and fulfilment of this sales contract will be referred to the exclusive jurisdiction of the Courts of Valencia. This sales contract is likewise exclusively governed by Spanish Law.

F. Design property and process know-how

Component(s) design(s) remain the property of GH Induction Group. No detail drawings will be provided unless specific agreement which does not allow, anyway the use of the parts design for components manufacturing. Such behaviour would be considered as an infringement of copyright. The following design won't be provided:

- Detailed mechanical drawings
- Electronic control boards
- Dies or tooling designs

Adapted drawings will be provided for proper management of the maintenance operation. In addition to those designs, the customer understands the importance of the know-how and commercial information we are sharing while providing commercial or technical offers. The client decisively undertakes not to disclose any technical or commercial information or any other data which he might learn about during the contractual relationship. In the event of any breach of the above on the part of the client, the seller reserves the right to claim compensation for damages.

G. Order cancellation

In case where the order would have to be cancelled before component's production termination, GH Induction company would be entitled to a fair compensation. This compensation would be following some general guidelines:

- At design level: 15% of the entire project value
- After design and prior final component assembly:
 - Value of finished goods increased by 1.40 applied on book value for handling cost and financial compensation
- During assembly and before shipment:
 - 100% of contract value

Once payment made, the components or finish goods will be fully transferred to the customer.

H. Use of customer's reference

GH Induction will be, unless clearly mentioned in the contract, entitled to use customer's name as reference within its reference list for its promotion. Of course, no data or information about handled process will be provided to any third party.

I. Not included in our offer:

- *Test part and its transportation from and to GH Induction facility*
- *Civil work and any ground preparation*
- *Quench medium*
- *Coil/inductor and shower other than ones defined in this offer*
- *Utilities drops (water, air, electricity) and connection to customer's plant*
- *Transportation other than the one defined in the offer*
- *VAT or any other tax*
- *Handling devices (crane, forklift) to unload the equipment from truck to customer's factory*
- *Component positioning into customer's plant*
- *Any items of service not clearly mentioned into this offer*
- *Starting-up of any of the elements supplied in this quotation*

TECHNICAL DESCRIPTION

Inductors

V. Scope

A. Components

- *Inductor Design & Manufacturing, process test and process development to harden the top of stem inductors.*

VI. Considerations

A. General Considerations

(*) The testing and development for the references marked as (*) should be carried out directly in WIA machines since there is no possibility to test these references in GH facilities.

GH Application lab does not have the needed infrastructure to develop these types of references because of the assembly is very complex and specific. That's why, GH can design and manufacture the inductors based on our knowledge and experience so that the customer could do the test in machine.

In case a modification during the testing will be needed, it could be done in a local workshop. Our experience with the Application is that difficulty you get the right results at the first time, so probably a couple of inductor modification should be done after the first testing on site, that's for we will look for local supplier in case we need to modify the inductors in México.